

festos. After all he authored the election manifesto and was only practising what he preached.

The bottom line: it was payday. The party believes the national rural dole programme NREGA won it the polls. Naturally allocations for NREGA were hiked and daily wages increased to Rs 100. Dalits and Muslims are deemed to have returned to the Congress fold and they had to be welcomed. Others had to be thanked. And there was no pretence or shying away from political reality. After all as Machiavelli wrote, "He who becomes a prince through the favour of the people should always keep on good terms with them."

Political realism aside Mukherjee believes the big spend has economic rationale. Seen as a great gamble by most, in his own words it was "a calculated risk". The logic: Bharat must prosper and create demand for India to grow. Who better than those who are at the bottom of the pyramid to create demand. Mukherjee believes social sector expenditure in the troughs of the economy will deliver incomes to people below the radar and diversify consumption. It doesn't quite matter that barely a tenth of the relief aimed at the poor reaches the target beneficiary. Neither is high deficit a deterrent to higher allocations. Citing the rising needs and aspirations of the people, he gently points out that the US at 11 per cent of GDP and the UK at 16 per cent of GDP have far higher ratios.

Yes, the markets did vote with their feet, with the Sensex losing over 1,200 points in three days. Corporates, economists and commentators criticised the effort as one lacking vision and packaged poorly. On day three, questions

flew at the FICCI meet. Why didn't he reveal the road map for shrinking fiscal deficit by 2014 if he had one? Why didn't he dwell on the potential for raising money from two dozen listed PSUs once the law on minimum public shareholding was through? Much of the criticism is not about what is in the budget but what isn't. Mukherjee is not concerned, nor in any queue for applause. The muddle, it would seem, is deliberate for political and tactical reasons. Revealing the timeline on return to fiscal rectitude would have shrunk the political dividend of expansionism. Similarly, elaborating on possible disinvestment would fuel resistance.

Twenty-five years back Mukherjee authored a tome, *Beyond Survival—Emerging Dimensions of Indian Economy*. In the very first chapter, he says, "For understanding the Indian economy we have to shed the bias of developmental forces normally represented by the cavalry of economists and adopt a balanced approach." This Budget has successfully done that and more. It

has jettisoned the lazy trickle down logic of markets and replaced it with bottom-up approach. It calls for applause. It also calls for enquiry on causes of leakage, engagement with stakeholders on causes and engineering of solutions that make public expenditure deliver outcomes. Yes, there is anxiety about growth this year but the impediments are borne out of long-term neglect. India can no longer afford a myopic view on the long-term growth imperative. Mukherjee will be judged on his ability to guide the economy out of this intersection of competing political compulsions and conflicting economic objectives. ■

The Splurge

Higher allocations for populist schemes trigger fiscal stress

- Bharat Nirman spend up by 45 per cent
- NREGA up by 144 per cent to Rs 39,100 crore
- Indira Awaas Yojana spend hiked by 63 per cent
- Debt waiver scheme for farmers extended
- Outlay for minority affairs up by 74 per cent
- Total expenditure touches Rs 10,20,838 crore
- Fiscal deficit at Rs 4,00,996 crore is 6.8 per cent of GDP
- Of every Rs 10 spent, Rs 4 simply don't exist
- Interest payments are highest-ever at Rs 2,25,511 crore
- Subsidies are up 64 per cent to Rs 1,11,276 crore